



— VENTURA & SANTA BARBARA COUNTIES · STATEWIDE VIRTUAL

34°16'N

The Compliance Audit — Overview

Senior, compliance-first HR leadership for companies of 20 to 100 employees — the judgment of a Chief HR Officer, without the full-time hire.

— THE CALIFORNIA COMPASS · ONE METHOD · FOUR BEARINGS

BEARING 01 · DIAGNOSE

See where you stand

A fixed-fee audit maps your California exposure and traces every gap to the law — a clear picture and a ranked plan, not a stack of maybes.

→ THE COMPLIANCE AUDIT

BEARING 02 · STABILIZE

Reach safe ground

We work down every finding from the audit and close it — required plans, pay transparency, your handbook — before any becomes a demand letter.

→ THE FIRST 90 DAYS

BEARING 03 · SYSTEMATIZE

Build the system

We install the frameworks your managers run — coaching, documentation, escalation — while the risk, the reset, and the record stay with us.

→ FRACTIONAL HR DIRECTOR

BEARING 04 · ELEVATE

Chart forward

Org design, people strategy, and an executive scoreboard — CHRO-level guidance that turns a compliant company into a stronger one.

→ FRACTIONAL CHRO

119°14'W see where you stand → reach safe ground → build the system → chart forward

▲ N.B.V.C.

SHRM-SCP certified

MBA

Senior Director-level tenure

Veteran-owned

calfractionalhr.com

COMPLIANCE-FIRST · STATEWIDE



THE COMPLIANCE AUDIT — OVERVIEW

Contents

A fixed-fee California compliance audit — the offer, the law behind it, the scope, and where it sits in the method. Four pages, in order.

The Compliance Audit

01	The offer, the PAGA reasonable-steps cap, and what the audit delivers.	3
----	--	---

PAGA, in Plain English

02	What the law is, and why the penalties multiply so fast.	4
----	--	---

Scope & Remediation

03	What we review, what you receive, and two ways to close the findings.	5
----	---	---

The Foundation

04	Where the audit sits in the California Compass — and what you're buying.	6
----	--	---

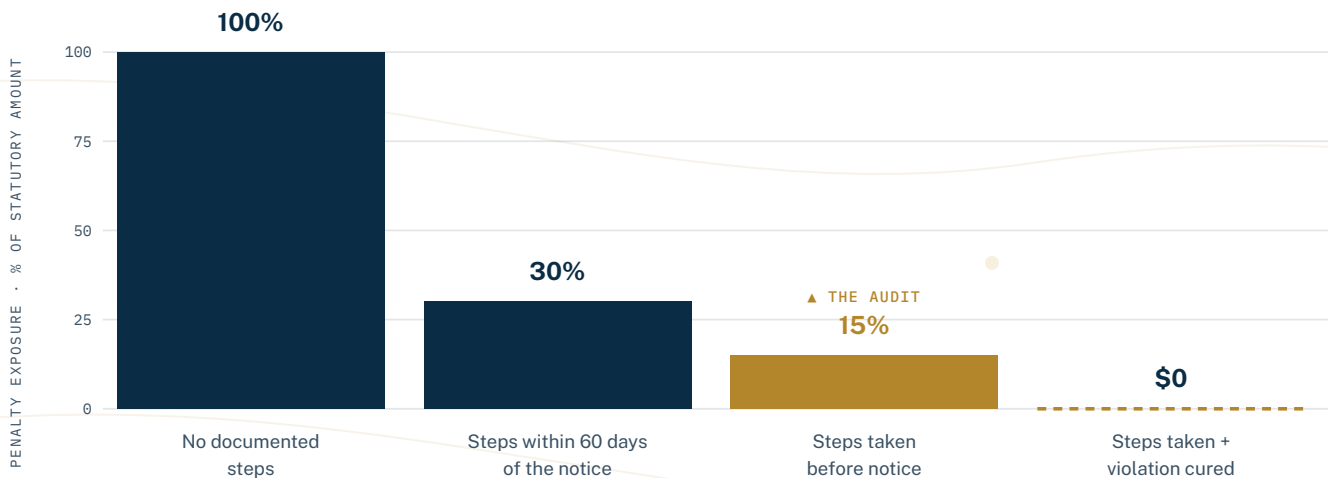


See exactly where you stand— *before a notice does.*

A fixed-fee California compliance audit that maps your exposure to the law — and produces the documented “reasonable-steps” file that caps PAGA penalties.

PAGA 2024 REFORM • AB 2288 / SB 92

What documented reasonable steps do to your PAGA exposure



Caps apply where a court finds “all reasonable steps” were taken, evaluated on the totality of circumstances; percentages are of penalties sought. The audit builds the documented file — it does not guarantee an outcome.

California Compliance Audit

\$4,500 fixed

A finite scope and a fixed fee. Converts to a retainer when you're ready to keep it maintained.

VENTURA • SANTA BARBARA • STATEWIDE VIRTUAL

WHAT IT DELIVERS

- A written “reasonable-steps” record for counsel
- A ranked risk map: wage-hour, pay, safety
- A 12-month compliance calendar
- A fixed fee, finite scope, clear next step

Book your audit. Tell me your headcount — fixed scope back within one business day.

connect@calfractionalhr.com

calfractionalhr.com/book →



PAGA, in *plain English*.

The California law that can turn a small payroll mistake into a company-sized bill — and why any employer over 15 people should understand it.

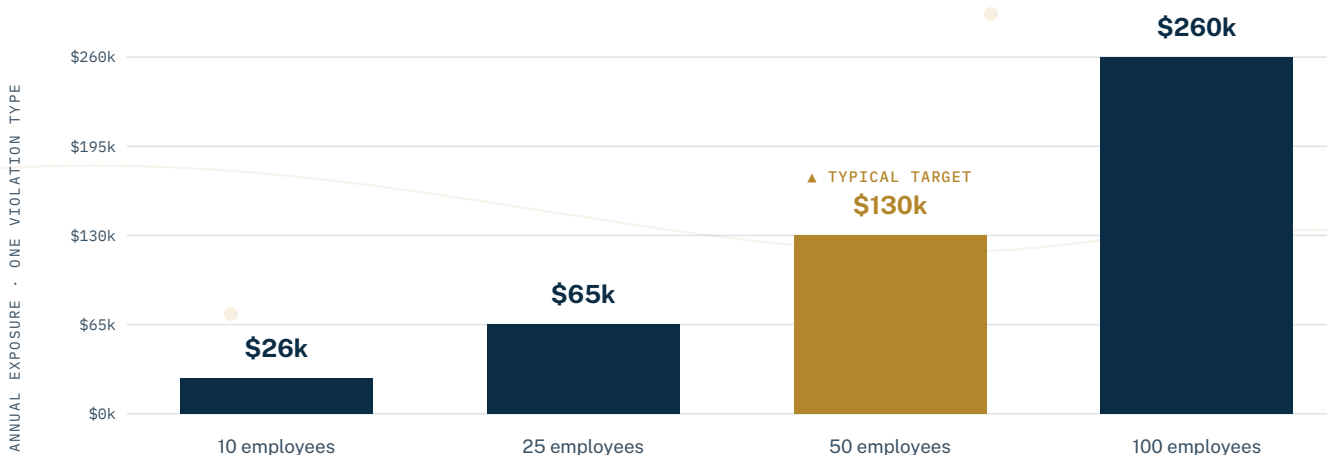
WHAT IT IS

PAGA — the Private Attorneys General Act of 2004 — lets a single employee sue on behalf of themselves, every other employee, and the State of California for violations of the state labor code. One worker is effectively deputized to enforce the law for everyone.

Two features make it bite. There is no class action to certify — a far lower bar than a normal employee lawsuit. And the bulk of any recovery goes to the State, not the workers, with the plaintiff's attorneys driving the case.

WHY THE NUMBERS EXPLODE

Penalties are charged *per employee, per pay period*. A \$100 slip, multiplied:



Illustrative: \$100 per employee, per pay period, paid bi-weekly (26 periods), for a single type of violation. Real cases often stack several violation types at once — multiplying the figures above.

THE GOOD NEWS

← SEE PAGE 3

This is exactly what the audit defuses.

Documented “reasonable steps” taken before a notice cap these penalties at 15% — and, paired with a cure, can eliminate them. That is the entire job of the compliance audit on page three.



THE FINISHED PRODUCT

What we review — and what you *walk away with*.

A structured review across the areas where California penalizes small employers — delivered as a documented file your counsel can rely on, not a slide deck.

WHAT WE REVIEW

01

Wage & Hour

Overtime, meal & rest breaks, timekeeping, final pay.

04

Classification

Exempt status & independent-contractor tests.

02

Pay Transparency

SB 1162 pay-scale postings, ranges & records.

05

Leaves & Accommodation

Paid sick leave, CFRA, reasonable accommodation.

03

Workplace Violence

SB 553 plan, annual training, incident log.

06

Policy & Handbook

Required policies, acknowledgments, recordkeeping.

WHAT YOU RECEIVE

→ Reasonable-Steps Report

The written record for counsel — documents the review and the actions taken.

→ Ranked Risk Map

Every finding scored by severity and effort, so you fix the costly items first.

→ 12-Month Compliance Calendar

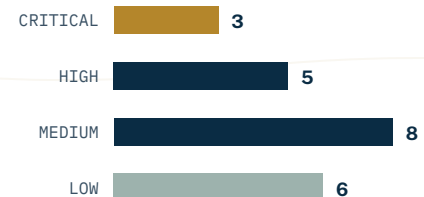
Recurring duties — SB 553 training, posting refreshes — mapped to dates.

→ Findings Readout

A 60-minute walkthrough with your leadership. Plain English, no jargon.

RANKED RISK MAP

ILLUSTRATIVE SAMPLE



CLOSING THE FINDINGS — TWO WAYS

Every finding comes with a fix. Run it yourself, or we execute it with you.

OPTION A

Close it in-house

You get a prioritized, plain-English remediation plan mapped to owners and dates. Your team executes; we're on call for questions.

BEST WITH CAPABLE IN-HOUSE HR / OPS

OPTION B • RETAINER

We close it with you

We execute the fixes alongside your team. The audit converts straight into a retainer.

\$175/hr project close-out • or \$3,500/mo • 20 hrs, HR Director

→ *a documented reasonable-steps position, maintained.*



The ground everything else *stands on*.

The California Compass runs in four bearings — diagnose, stabilize, systematize, elevate. Each stands on the one below it, and it all starts on compliant ground.



Every bearing stands on the one below it.

BEARING 01 — DIAGNOSE — IS THE COMPLIANCE AUDIT

WHAT YOU'RE ACTUALLY BUYING

Compliance isn't the ambitious part of HR. It's the part that lets the ambitious parts exist — the quiet confidence to hire, promote, discipline and grow without a filing waiting to happen.

- **You stop watching the mailbox.**
The demand letter stops living rent-free in your head.
- **Your managers act with confidence.**
Hard conversations happen on solid, documented ground.
- **You scale without compounding risk.**
Each new hire adds capability, not exposure.

PUT THE WEIGHT DOWN

Buy back the peace of mind.

You didn't start the company to master California's Labor Code. The audit hands that weight to someone who has — one fixed fee, one documented file, one fewer thing keeping you up at night.

connect@calfractionalhr.com

calfractionalhr.com/book →

